MarginLabs

EMBEDDED PAYMENTS INTELLIGENCE

The Embedded Payments Strategic Decision Framework

for Vertical SaaS Leaders

2026 Edition

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PART I

THE LANDSCAPE

Understanding the opportunity, the economics, and the ecosystem

01 — WHY THIS GUIDE EXISTS

Most vertical SaaS founders know payments is a revenue opportunity. Few have a clear map of how to capture it. This guide closes that gap.

We've built payments infrastructure at different scales, navigated regulatory programs, negotiated directly with processors, and watched dozens of companies make expensive mistakes that better information would have prevented. This guide reflects what we would have told them at the start.

What This Guide Covers

Sections 1–6 cover the landscape and the economics — the "why" and the "how much." Sections 7–10 are model deep dives — the four ways platforms monetize payments, with our view on honest economics and tradeoffs for each. Sections 11–13 are the decision toolkit — how to evaluate your opportunity, choose a model, and calculate the impact. Section 14 is the glossary for quick reference.

This guide is a decision framework. It will give you the vocabulary, the financial math, and the evaluation criteria you need to decide: Do we pursue payments? Which model fits our stage? Who should we talk to?

This guide is not a how-to engineering manual. API integration, compliance checklists, and vendor selection belong in a later conversation — with your technical, legal, product, and finance teams, and in The Embedded Payments Execution Playbook.

Who This Is For

Founders and product leaders at vertical SaaS companies with $1M–$20M in ARR and an existing customer base. If your customers process payments in your category — restaurants, clinics, legal practices, fitness studios, trades, property managers, associations — this framework applies directly. Read it in 2–3 hours. Emerge with conviction.

02 — THE 2024-2026 INFLECTION — WHY NOW

The Market Context

Between 2020 and 2026, embedded payments shifted from optional to table stakes. The catalyst was infrastructure maturation: PayFac-as-a-Service providers (Finix, Payrix, Stripe Connect) made it possible for a $2M ARR company to have the same payment processing capabilities as a $50M company. Pre-2020, that required $2M–$5M in capital and 12–18 months of compliance work, trust us, we've been there. Post-2020, it requires $75K–$200K and 3–6 months.

The result: every vertical has payment-enabled competitors. The first-mover window has closed.

The Public Proof Points

Three companies define the benchmark:

Toast. Processes over $3B in annual payment volume at net take rates in the 0.25–0.35% range. Embedded payments contributes meaningful EBITDA alongside SaaS subscriptions.

ServiceTitan. Payment-related revenue represents approximately 20% of total revenue. The addition of payments pushed net dollar retention to best-in-class levels because customers who process payments churn at dramatically lower rates.

AffiniPay (LawPay, CPACharge). Approximately 70% of revenue from payment processing. Net dollar retention exceeds 120%. Their payments infrastructure is so embedded in the workflow that switching is effectively irrational for most customers.

These aren't outliers — they're the proof points institutional investors use to value your business.

Sources: Toast Inc. SEC filings (10-K, 2024); ServiceTitan S-1 filing (2024); AffiniPay/Thomas H. Lee Partners press releases and industry analysis (Bain Capital, 2023). Figures are approximate and based on publicly available data.

The Investor Reality

If you've raised capital recently, you've heard the question: "What's your payments strategy?" It wasn't on investor scorecards three years ago. It's standard now — at seed, Series A, Series B, and in every PE portfolio review. Payments can become a foundational component of your platform — great engineers and founders can stand up the basics almost overnight, even at the earliest stages.

Investors model embedded payments as a dedicated revenue stream in 3-year projections. A $2M ARR SaaS company without a payments strategy is viewed as leaving 15–30% of potential

revenue on the table. That translates to a 20–35% valuation haircut at exit. A comparable business with payments commands a 1.3–1.6x revenue multiple premium.

> *The first-mover window has closed. Competitors are already generating cash from combined software and payments — why wouldn't you? There is barely a vertical left that doesn't have integrated payments, and those that don't are becoming acquisition targets for those that do, since payments-enabled platforms carry bigger growth multiples and stronger future prospects. Moving in 2026 means closing the gap. Waiting until 2027 means building into a market where every competitor is already monetizing payments.*

The Churn Argument

This is the most underrated reason to move. When a customer processes payments through your SaaS, switching cost increases dramatically — they're now changing two critical systems instead of one. The data is consistent across verticals:

- SaaS without embedded payments: 10–12% annual customer churn
- SaaS with embedded payments (60%+ adoption): 7–9% annual customer churn

That 2–3 point difference compounds. Over 5 years on a base of 100 customers, it's the difference between 45 customers retained and 60 customers retained. At $3K/year per customer, that's $45K in additional lifetime revenue per cohort — before a single dollar of payments revenue is counted.

Sources: Bessemer Venture Partners "State of Fintech" (2023); McKinsey "Embedded Finance" report (2024); Bain Capital Ventures vertical SaaS benchmarks. Churn figures represent cross-vertical medians.

03 — YOUR REVENUE OPPORTUNITY

The Fundamental Math

A SaaS company with 300 customers, each processing $50K/month in sales, sits on top of $180M in annual payment volume. Its SaaS revenue might be $3M. That's a 60:1 ratio of payment volume to subscription revenue. Even at a conservative 0.20% net take rate, that's $360K in annual payment revenue — 12% of SaaS revenue with near-zero marginal cost of delivery.

Most founders find this number surprising. They've never mapped their customers' actual payment volume. The money is already flowing. It's just flowing around them.

The Volume Calculation

Three methods, in order of confidence:

1. Bottom-up: Customer count × average monthly volume per customer × 12.
2. Top-down (industry benchmarks) — directional; validate against your own vertical:

Vertical	Monthly Volume per Customer	Annual Payments Volume Multiple
Property Management	$20K–$100K	15–30x ARR
Fitness / Studios	$8K–$25K	10–20x ARR
Pet Care / Boarding	$5K–$15K	8–15x ARR
Home Services / HVAC	$8K–$20K	6–12x ARR
Field Services / Trades	$8K–$20K	6–12x ARR
Healthcare / Med Spa	$8K–$30K	5–12x ARR
Legal / Law Firms	$10K–$40K	3–8x ARR
Associations	$3K–$10K	2–5x ARR

3. Direct survey: Email 10–20 customers this week and ask. The answer will change your sense of urgency.

> ▶️ **Your next move: Estimate your customer processing volume using the table above. Multiply by the net take rate for your likely model (see Section 4). That number is the revenue your platform is leaving on the table today.**

04 — THE FOUR MODELS — OVERVIEW

Embedded payments is not one thing. There are four distinct business models, each with different economics, regulatory burden, implementation complexity, and control. Choosing the right model for your stage is the first and most consequential decision.

The Four Models at a Glance

	ISV Referral	Enhanced Residuals	PayFac-as-a-Service	Full PayFac
Net Take Rate	0.05%–0.12%	0.12%–0.20%	0.20%–0.35%	0.35%–0.55%
Implementation Cost	$10K–$40K	$15K–$50K	$75K–$200K	$500K–$3M
Time to Live	4–8 weeks	8–16 weeks	3–6 months	12–24 months
Regulatory Burden	Minimal	Low	Moderate	High
Merchant Ownership	Processor	Processor	Shared	You
Control Level	Low	Low–Medium	Medium–High	Full
Recommended Stage	Pre-revenue pilots, <$5M ARR	$1M–$10M ARR	$3M–$30M ARR	$15M+ ARR, strategic

How to Read This Table

Net take rate is your revenue per dollar of customer processing volume, after costs. This is what hits your P&L.

Implementation cost is the one-time investment to go live. Higher-control models cost more to build.

Merchant ownership determines who controls the merchant account, the customer's payment history, and direct access to your customer base. Processors owning this relationship carries strategic risk.

Regulatory burden reflects compliance, KYC/KYB, underwriting, and risk management obligations. ISV Referral has essentially none; Full PayFac carries the full weight.

Deep dives on each model are in Sections 7–10. Section 11 provides a model selection framework for your specific stage. If you already know your stage and volume, you can skip directly to the relevant model section and the selection framework.

The Strategic Principle

Every model involves a tradeoff: lower burden now for lower returns, or higher burden now for higher returns and more strategic control. There's no universal right answer. A platform with 150 customers and $10M in annual volume should not jump to Full PayFac. A platform with 2,000 customers and $200M in annual volume should not stay in ISV Referral.

The right model is a function of your volume, your stage, your team's bandwidth, and your competitive position. Section 11 maps this explicitly.

Revenue at Each Model

Once you have your customer processing volume estimate from Section 3, here's what each model generates at scale:

Model	Gross Take Rate	Net Take Rate	$10M GPV Revenue	$50M GPV Revenue
ISV Referral	0.08%–0.15%	0.05%–0.12%	$5K–$12K	$25K–$60K
Enhanced Residuals	0.15%–0.25%	0.12%–0.20%	$12K–$20K	$60K–$100K
PayFac-as-a-Service	0.30%–0.50%	0.20%–0.35%	$20K–$35K	$100K–$175K
Full PayFac	0.50%–0.80%	0.35%–0.55%	$35K–$55K	$175K–$275K

Net take rate is after interchange, network fees, processor margin, and fraud/chargeback reserve. This is the number that goes to your P&L.

> *If you don't know your customer processing volume, estimate it before reading further. Use the benchmark table in Section 3. Multiply by the net take rate column for your likely model. That number — however rough — will anchor every decision in the next 30 days.*

05 — THE ECOSYSTEM — WHERE YOU FIT

Before you evaluate models, you need to understand how money actually moves in a card transaction. The parties, the fees, and the roles. This is the map. Without it, you'll negotiate blind.

The Value Chain

When your customer accepts a card payment from their customer through your platform, six parties are involved:

1. Cardholder — swipes, taps the card, or shares via wallet or types in details. Pays the transaction amount (including surcharges) plus any applicable fees to their bank.
2. Merchant — accepts the card. Pays interchange + network fees + processor margin to accept that card. May generate some revenue from fees passed to cardholder.
3. Your Platform — the software the customer uses. Depending on your model, you sit between the customer and the processor — either as a referral partner, a sub-PayFac, or a full PayFac.
4. Payment Gateway — the technical layer that routes the transaction data. Some platforms act as their own gateway (more control), others use a hosted gateway (less work).
5. Processor / Acquirer — the institution that clears the transaction and settles funds to the merchant. Takes a margin on each transaction after paying the card networks.
6. Card Networks (Visa/Mastercard) — set the rules and collect interchange. Interchange is paid by the acquiring bank (processor) to the issuing bank (cardholder's bank) on every transaction.

> *For a more visual representation, check out Interchange in 1,000 Words by Matt Brown (https://notes.mtb.xyz/p/interchange-in-1000-words) — an excellent illustrated primer on how interchange flows through the ecosystem.*

Who Owns What

The most important axis: who owns the merchant account?

- ISV Referral: Processor owns it. You refer customers; they set up accounts directly with the processor.
- Enhanced Residuals: Processor owns it. Similar to ISV Referral but with better revenue share terms.

- PayFac-as-a-Service: You own a sub-PayFac account under the PFaaS provider. You control the customer relationship; the PFaaS provider owns the master merchant account.
- Full PayFac: You own the merchant account directly. You are the merchant of record to the card networks.

Merchant account ownership determines: who the customer calls when there's a problem, who owns 3 years of transaction data if you switch processors, and whether a competitor can poach your customers through the processing relationship.

The Fee Structure

Every card transaction generates four fee flows:

1. Interchange (1.5%–2.5% for credit; 0.5%–1.0% for regulated debit): Paid by the processor to the cardholder's bank. This is the largest cost in the stack and varies by card type (rewards cards cost more). Note: Debit interchange is significantly less expensive than credit interchange — platforms with high debit mix enjoy materially better net economics.
2. Network fees (0.13%–0.18%): Paid to Visa/Mastercard for using their rails.
3. Processor margin (0.2%–0.6%): What the processor keeps for their services.
4. Your take (0.05%–0.55% depending on model): What you keep.

The math: A 2.5% total charge on a transaction breaks down roughly as: ~1.8% interchange + 0.15% network fees + 0.3% processor margin + 0.25% you = 2.5%. At Full PayFac, you absorb more of the stack but also keep more of the margin.

> *"Interchange" is not your enemy — it's fixed and non-negotiable. Your negotiation with a processor is about how much of the processing margin they keep versus share with you. Every basis point of that margin negotiated in your favor flows directly to your P&L.*

06 — KEY METRICS — WHAT TO TRACK AND WHY

Seven metrics determine whether your payments program is working. Learn these before you negotiate, before you model, and before you present to your board.

The Seven Metrics

1. GROSS PAYMENT VOLUME (GPV)

Total dollar value processed through your platform annually. This is the base of all economics. $10M in GPV at a 0.20% net take rate = $20K/year. That's your P&L impact.

2. GROSS TAKE RATE

Your total payments revenue as a percentage of GPV. The headline number processors quote. Ranges from 0.08% (ISV Referral) to 0.75%+ (Full PayFac with premium verticals).

3. NET TAKE RATE

Gross take rate minus all costs: interchange, network fees, processor margin, fraud/chargebacks, compliance overhead. This is what actually hits your P&L. A 0.50% gross take rate can net 0.20% or less once costs are deducted. Net take rate is the only number that matters for financial modeling. Note: both gross and net take rates are critical for the PayFac-as-a-Service and Full PayFac models, where the platform assumes some of the risk baked into the fee stack.

4. ATTACHMENT RATE

The percentage of your eligible customers actively using your integrated payments solution. A platform with 500 customers and 60% attachment has 300 active payment customers. Industry benchmark: 60–80% within 12 months for well-designed programs. Conservative Year 1 planning: 40–50%. Important: achieving a strong attachment rate is not a product problem alone — the go-to-market and launch of embedded payments requires a joint effort across product, revenue, and operations teams.

5. MERCHANT VOLUME LIFT

Customers who process payments through your platform often increase their total volume over time as the integration makes payments more visible and frictionless. Some platforms see 10–20% lift in customer GMV from better payment UX.

6. AVERAGE TRANSACTION VALUE (ATV)

Matters for chargebacks and risk profiling. A platform where the average transaction is $150 (e.g., fitness) has a very different risk profile than one where the average is $1,200 (e.g., legal). Processors assess risk by vertical and ATV; your underwriting program is designed around this number.

7. CUSTOMER / MERCHANT CHURN

Annual rate at which customers leave your platform. As discussed in Section 2, embedded payments can reduce churn by 2–3 percentage points. Track churn for payments-active vs. non-payments customers separately — this delta is one of the most compelling data points for your board and for investors. It compounds over time and directly impacts net dollar retention and enterprise value.

A Worked Example

Platform: 320 customers in home services / HVAC vertical. Monthly volume per customer: $12,000. Model: PayFac-as-a-Service.

- GPV: 320 × $12,000 × 12 × 55% attachment = $25.3M
- Gross take rate: 0.40%
- Gross payments revenue: $101,400/year
- Net take rate (after all costs): 0.25%
- Net payments revenue: $63,400/year
- Enterprise value from payments revenue (3.5x multiple): +$222K
- Enterprise value from NDR improvement (6x SaaS multiple × 1 point NDR lift): +$130K–$330K
- Baseline customer churn: 11%. Post-payments churn (estimated): 9%. Annual retained SaaS revenue from churn improvement: $44,200

> *Most founders model gross take rate and stop. Net take rate is the number that flows to the P&L. In early negotiations, ask every processor: "What is my expected net take rate after interchange passthrough, network fees, and processor margin?" If they can't answer cleanly, they're quoting you a number that sounds good and isn't.*

PART II

THE MODELS

Four paths to payments monetization — economics, tradeoffs, and fit

07 — ISV REFERRAL — THE ENTRY POINT

ISV Referral is the lowest-friction way to get payments live and generating revenue. Not the highest-margin. The lowest-friction.

We've watched hundreds of founders get paralyzed trying to build the "perfect" payments infrastructure. ISV Referral eliminates that. You can be live in 4–8 weeks. That matters more than many founders realize.

How It Works

1. You sign an ISV or referral agreement with a payment processor.
2. You integrate their processing into your platform via API or redirect.
3. Customers sign up and activate a payment account through the processor.
4. The processor handles onboarding, underwriting, KYC/KYB, disputes, chargebacks, and settlement.
5. You receive a residual share — typically 0.05%–0.15% of processed volume.

The processor owns the merchant account. You own the integration experience and customer distribution.

The Economics

On a typical transaction: ~2.5% total transaction fee, of which ~1.8% is interchange, ~0.15% is network fees, ~0.3% is processor margin, and ~0.05%–0.15% is your residual.

At $10M annual GPV with a 0.10% residual: $10,000/year. At $50M GPV: $50,000/year.

That isn't exciting on paper. But compare the denominator: 4–8 weeks to launch, $10K–$40K implementation cost, zero compliance burden on you, zero underwriting risk. ISV Referral is a learning vehicle and a proof-of-concept before you invest in a higher-control model.

What You Control vs. What You Don't

You control:

- Which processor you partner with
- The integration and onboarding UX
- Whether payments is mandatory or optional for customers
- How you communicate the feature

You don't control:

- Customer pricing (processor sets base rates)

- Underwriting decisions
- Dispute and chargeback handling
- Funding timing
- The direct customer relationship (the processor has it)

The strategic risk: The processor has a direct relationship with your customers. Read your ISV contract carefully for non-solicitation and exclusivity clauses. In some contracts, the processor can market alternative solutions directly to your customers. That's a moat you don't want to create for a competitor.

Implementation

Shallow integration (redirect to hosted payment page): 2–4 weeks, under $10K. Deep integration (embedded UI, your brand): 6–10 weeks, $20K–$40K.

Established processor programs for ISV Referral include Worldpay, Fiserv, Priority Commerce, Payroc, and NMI. Evaluate on: residual economics, vertical fit, quality of developer APIs, merchant support SLA. The Embedded Payments Execution Playbook includes a weighted vendor evaluation scorecard.

When to Use ISV Referral

- You're pre-revenue on payments or under $5M ARR
- You need to prove customer demand before investing in infrastructure
- You have under $20M in annual payment volume
- Your team has zero payments expertise and you need a learning runway
- You want to run a 12-month pilot before committing to a larger model

> *ISV Referral is not a forever model. It's a starting point. Use it to prove volume, build operational confidence, and decide whether you're ready to move up the stack. Every month you wait to start costs you data, learning, and pipeline. Start with ISV Referral; upgrade when economics justify it.*

08 — ENHANCED RESIDUALS — BETTER ECONOMICS, SAME STRUCTURE

Enhanced Residuals is ISV Referral with better negotiating terms. The structure is identical — the processor still owns the merchant account — but the revenue share is larger because you've earned it through volume commitments or negotiating leverage.

What Changes vs. ISV Referral

The processor's total margin on a transaction is typically 0.30%–0.60%. In a standard ISV arrangement, you get 0.05%–0.15%. In Enhanced Residuals, you negotiate for 0.12%–0.20% or more. How you get there:

- Volume commitments: Commit a minimum annual payment volume for better economics.
- Vertical expertise: Lower-risk verticals (legal, fitness, associations) give you leverage.
- Competitive tension: Bring two or three processors to the table simultaneously.
- Better integration: A deep, branded integration demonstrates customer capture and reduces processor acquisition cost.

The Economics

At $25M annual GPV with a 0.17% net take rate: $42,500/year. At $50M GPV: $85,000/year. Implementation cost: $15K–$50K. Timeline: 8–16 weeks. Risk profile: identical to ISV Referral.

When to Use Enhanced Residuals

- You've validated payment demand with ISV Referral
- You're approaching $20M–$50M in annual payment volume
- You have leverage to negotiate (volume commitments, competitive bids)
- You're 12–18 months from a PayFac-as-a-Service decision

The trap to avoid: Treating Enhanced Residuals as a permanent state. Once you cross ~$30M–$50M in annual GPV, the economics of PFaaS materially exceed Enhanced Residuals.

> *Never accept the first term sheet. Run a competitive process — bring Worldpay, Fiserv, and Priority Commerce to the table at the same time. The delta can be 3–5 basis points of net take rate. On $30M of annual volume, that's $9K–$15K per year. The Embedded Payments Execution Playbook includes a full negotiation framework.*

09 — PAYFAC-AS-A-SERVICE — THE SWEET SPOT

PayFac-as-a-Service is where most vertical SaaS companies with meaningful volume should be. Not because it's the most profitable per transaction — Full PayFac is — but because it captures the largest share of the economics available without requiring you to become a licensed payment facilitator.

This is the model that changed the embedded payments landscape post-2020. Companies like Finix, Payrix, and Stripe Connect built infrastructure that lets a $5M ARR SaaS company own the customer relationship, control the pricing, and capture the economics of a payment processor — without the $2M–$5M capital investment of a Full PayFac.

How It Works

Under PFaaS, you become a sub-PayFac under the PFaaS provider's master merchant account. The PFaaS provider holds the PayFac license, manages compliance, handles settlement, and backstops risk. You:

- Own the merchant onboarding experience
- Control customer pricing (within guardrails set by the PFaaS provider)
- Retain 0.20%–0.35% net take rate on processed volume
- Build your own customer data set and payment history

You are the customer's point of contact. The PFaaS provider is invisible to your customers.

The Economics

Net take rate: 0.20%–0.35% (after interchange, network fees, PFaaS provider margin). At $25M GPV / 0.25% net: $62,500/year. At $50M / 0.28%: $140,000/year. At $100M / 0.30%: $300,000/year. Implementation cost: $75K–$200K. Time to live: 3–6 months.

What You Own

Under PFaaS, the shift from ISV Referral is significant:

	ISV Referral	PFaaS
Merchant account	Processor	You (sub-PayFac)
Customer pricing	Processor sets	You set (within limits)
KYC/KYB	Processor	You (PFaaS tools + your UX)
Underwriting decisions	Processor	Shared (you build cases; PFaaS decides)

	ISV Referral	PFaaS
Transaction data	Processor	You own it
Chargeback management	Processor	Shared (you have skin in the game)
Compliance burden	Minimal	Moderate

The PFaaS Provider Landscape

Provider	Best For
Finix	Purpose-built for vertical SaaS. Strong APIs, transparent pricing, no volume minimums.
Payrix (Worldpay)	Market leader. Full-service operational partner. Acquired Infinicept.
Stripe Connect	Best developer experience. Economics less favorable at scale.
Nuvei	Competitive in cross-border and subscription billing.
WePay (Chase)	Bank-backed. Less flexible pricing, strong settlement infrastructure.

The Embedded Payments Execution Playbook includes a weighted evaluation scorecard.

When to Use PFaaS

- $3M–$30M ARR
- $15M–$150M in annual payment volume
- You want to own the customer relationship and data
- You have 3–6 months of engineering capacity to build properly
- You're ready to hire or designate a payments operations owner internally

> *The PFaaS decision is not a tech decision — it's a product and business model decision. Before you sign a PFaaS agreement, ask: Do we have someone internally who owns the payments program? If no one does, the integration will go live and then go dark. Merchant onboarding is where most programs fail. Build the operational model before you build the integration.*

10 — FULL PAYFAC — FULL CONTROL, BURDEN

Full PayFac is the highest-return model. It's also the most complex, most expensive, and most operationally demanding. For the right platform at the right stage, it's the right answer. For the wrong platform, it's a distraction that consumes capital and attention.

> *Important: The vast majority of vertical SaaS companies will not — and should not — pursue Full PayFac. Most platforms will maximize their payments economics at the PayFac-as-a-Service level. Full PayFac is appropriate only for a small number of platforms with exceptional volume, dedicated teams, and a strategic commitment to payments as a standalone business line. If you are considering Full PayFac, we recommend a separate advisory engagement to evaluate your readiness — the detail below is intentionally high-level.*

What Full PayFac Means

As a Full PayFac, you hold the payment facilitation license, you have a direct Master Operating Agreement with one or more sponsor banks, and you are a registered Principal Member under Visa and Mastercard's operating rules. You are the merchant of record. You own the entire merchant relationship — onboarding, underwriting, compliance, settlement, dispute resolution, and risk management.

In exchange, you capture the full processing margin above interchange and network fees. At scale, that can be 0.35%–0.55% net take rate — 3–5x the economics of ISV Referral.

The Economics

Below is a simplified view of Full PayFac economics. Gross and net take rates both matter here because the platform assumes underwriting, fraud, and chargeback risk baked into the fee stack.

Component	Typical Range (bps)
Gross take rate	50–80 bps
Less: Interchange	(150–250 bps) *passthrough*
Less: Network fees	(13–18 bps)
Less: Sponsor bank fees	(3–8 bps)
Less: Fraud/chargeback reserve	(2–5 bps)
Less: Compliance / ops overhead	(2–5 bps)
= Net take rate	35–55 bps

Revenue examples: $50M GPV at 0.40% net = $200K/year. $100M at 0.45% = $450K/year. $250M at 0.50% = $1.25M/year. Implementation cost: $500K–$3M+. Time to live: 12–24 months.

The Operational Requirements

Full PayFac is not just a technology integration. It requires:

- Sponsor bank relationship and underwriting function (policies, risk scoring, document collection)
- Risk and compliance: PCI-DSS Level 1, BSA/AML program, card brand registration, state-level money transmitter licensing
- Dispute management: You handle chargebacks and bear the financial risk
- Capital reserve: Typically $250K–$1M+ held against potential merchant losses

When to Use Full PayFac

- $15M+ ARR and $100M+ annual payment volume
- Payments is a strategic priority — not a feature, but a business line
- Capital to deploy ($500K–$3M) and 12–24 months of runway before payback
- Leadership committed to hiring a payments ops team (Risk, Compliance, Underwriting, Merchant Services)

> *Full PayFac is a business unto itself. You're building a payments company inside your SaaS company. The trap: moving too early. At $20M GPV, payback is 15–25 years. At $200M GPV, it's 2–4 years. The math only works at scale. The companies that do it well treat payments as a separate P&L. The companies that do it poorly underestimate the operational burden and end up with a compliance liability they can't manage.*

PART III

THE ACTION PLAN

Choosing your model, building your case, and moving forward

11 — WHICH MODEL IS RIGHT FOR YOU

The right model is determined by four factors: your payment volume, your stage, your team's operational capacity, and your strategic timeline. Here's the decision framework.

The Primary Decision Factors

1. Annual Payment Volume (the most important variable)

Annual GPV	Recommended Model
Under $10M	ISV Referral (start here; prove demand)
$10M–$30M	ISV Referral or Enhanced Residuals
$30M–$75M	Enhanced Residuals or PFaaS
$75M–$200M	PFaaS (strong)
$200M+	PFaaS or Full PayFac

2. Company Stage

ARR	Model Range
Under $2M	ISV Referral only
$2M–$8M	ISV Referral → Enhanced Residuals
$8M–$20M	Enhanced Residuals → PFaaS
$20M–$50M	PFaaS → Full PayFac evaluation
$50M+	Full PayFac (if volume supports it)

3. Operational Capacity

Each model requires internal ownership:

- ISV Referral: 1 person, part-time. Mostly partnership management.
- Enhanced Residuals: 1 person, 50% time. More active negotiation and monitoring.
- PFaaS: 1 dedicated FTE (payments product/operations). Merchant onboarding, KYC monitoring, dispute escalation.
- Full PayFac: 4–8 FTE across risk, compliance, underwriting, merchant services.

The Quick-Decision Matrix

Answer these four questions. The pattern of answers points to a model.

	Green	Yellow	Red
Annual GPV	>$20M	$5M–$20M	<$5M
Payments ops capacity	Dedicated FTE available	Part-time possible	No capacity
Engineering timeline	3+ months available	6–12 weeks	None now
Strategic urgency	M&A process active	Fundraise in 18 mo	No near-term event

All green + $75M+ GPV: Evaluate PFaaS immediately. Mix of green/yellow + $15M–$75M GPV: PFaaS or Enhanced Residuals depending on ops capacity. Mostly yellow + under $30M GPV: ISV Referral or Enhanced Residuals; revisit PFaaS in 12 months. Any red + under $10M GPV: ISV Referral. Start now, build the data, revisit in 12 months.

Strategic Timeline Considerations

Your timeline to a capital event should directly influence your model choice:

Path A: Capital event in 18 months or less

Launch ISV Referral now — even if PFaaS is the right long-term model. You want payments revenue and customer data in the data room before investors arrive. Starting ISV Referral now gives you 12–18 months of data to show. Speed to data matters more than margin optimization at this stage.

Path B: Building for a 3–5 year exit

Invest in PFaaS. The compounding economics and customer ownership at 3–4 years significantly outperform ISV Referral. The upfront investment pays back through higher take rates, better retention, and a materially higher valuation multiple at exit.

The Valuation Impact

Embedded payments does not just add a revenue stream. It shifts how your business is valued through three channels:

Direct Revenue Contribution

SaaS revenue trades at 5–10x ARR at exit. Payments revenue trades at 3–5x annual take rate revenue. Combined SaaS + payments often commands 7–12x blended — the combination reduces churn and improves retention economics, justifying a premium.

Net Dollar Retention Improvement

Customers who use embedded payments churn at 15–25% lower rates. Lower churn means higher NDR. Higher NDR means a higher SaaS multiple. Example: baseline NDR of 102% improves to 108% after launching payments with 60% adoption. On $2M SaaS revenue, a 0.5x multiple

expansion (6x to 6.5x) yields $1M in incremental enterprise value from multiple expansion alone.

Strategic Acquirer Premium

Add embedded payments and your buyer pool expands: payment processors acquire vertical SaaS for payment volume, PE firms pay premium prices for platforms they can scale payments on. More buyers = competitive tension = higher price. We have seen acquirers pay 20–30% premiums for payments-enabled vertical SaaS versus pure SaaS in the same vertical.

ARR	Payments Revenue	EV Before	Payments + NDR Lift	Total New EV	Uplift
$1M	$50K	$5M	$675K	$5.7M	+14%
$2M	$150K	$12M	$1.5M	$13.5M	+13%
$5M	$400K	$35M	$3.9M	$38.9M	+11%
$10M	$1M	$80M	$8.5M	$88.5M	+11%

> *Payments creates a consistent 11–14% valuation premium across all stages. At $1M ARR, that's $700K. At $10M ARR, it's $8.5M. This is not a revenue feature — it is a valuation driver. The most expensive decision is waiting. Every quarter of delay is volume that processed through someone else's infrastructure. Start at the model you can execute now. The path ISV Referral → Enhanced Residuals → PFaaS is well-traveled. The companies that move through it fast are the ones who started.*

12 — THE 90-DAY QUICK START & NEXT STEPS

The most common failure mode: months of evaluation with no decision. Here is the minimum viable action plan.

Phase 1: Scope and Validate (Days 1–30)

- Week 1: Survey 15–20 customers. Ask: "What is your average monthly payment volume?" Calculate your bottom-up GPV. Cross-reference with Section 3 benchmarks. Identify your model range from Section 11.
- Week 2: Model Year 1 and Year 3 revenue at your target model. Add the churn impact (use 2% improvement × ARR per customer as a conservative estimate). Present to leadership: payback period and enterprise value impact.
- Week 3–4: Request intake calls from 2–3 processors or PFaaS providers. Never negotiate with one.

Month 1 deliverable: A signed or nearly-signed term sheet and a board-approved budget for implementation.

Phase 2: Build and Integrate (Days 31–75)

- Days 31–40: API evaluation and sandbox testing
- Days 41–60: Core integration (payment collection, customer onboarding flow, basic reporting)
- Days 61–75: KYC/KYB flow testing, underwriting policy documentation, go-live checklist

Critical: Invest in a frictionless onboarding flow. Pre-fill customer data, minimize required fields, provide real-time application status, and give customers clear incentives to activate (lower rates, faster payouts, reporting tools). Designate a payments program owner — not a developer, someone who owns customer activation.

Phase 3: Launch and Scale (Days 76–90)

- Soft launch (Days 76–85): Activate for 15–20% of your customer base — your most engaged customers who are most likely to adopt. Iron out onboarding friction and support escalations.
- Full launch (Days 86–90): Announce to your full customer base. Lead with customer benefit (faster payouts, integrated reporting), not platform features. Offer a limited-time incentive to accelerate activation.

Day 90 targets: 30–40% attachment rate, customer feedback survey complete, run-rate payments revenue calculated, churn baseline established.

> *The first 30 customers you activate are worth more than the next 100. They generate your first real data, your first testimonials, and your first lessons on what breaks in the onboarding flow. Don't rush full launch at the expense of learning from the soft launch cohort.*

Your Immediate Next Steps

Based on what you've read, three things should happen in the next 10 business days:

1. Survey your customers. 15–20 conversations to establish your average monthly volume. This single number changes every financial model you'll build.
2. Build your internal business case. Use the model economics from Sections 7–10 and the case study methodology from Section 13 to model Year 1 and Year 3 revenue at your target model. Present to leadership with payback period and enterprise value impact.
3. Get matched with the right processing partners. When you're ready to talk to processors, don't go in cold. Margin Labs maintains direct relationships with vetted processing partners across all four models. Book a Quick Start Call at marginlabs.io/advisory — a focused 1-hour session where we review your specific situation, confirm your model selection, and facilitate warm introductions to partners matched to your stage, volume, and vertical. The competitive process is the leverage — and a facilitated introduction gets you to the right table faster.

When You're Ready to Execute

The Embedded Payments Execution Playbook picks up where this framework leaves off — vendor evaluation scorecards, contract negotiation playbooks, implementation timelines, merchant activation strategies, and board presentation templates. Details at marginlabs.io.

13 — CALCULATING POTENTIAL — A CASE STUDY

The following is a hypothetical case study based on composited data from platforms in the home services vertical. It is illustrative, not prescriptive — your numbers will differ.

The FieldFlow Pro Example

FieldFlow Pro is a fictional composite. $2.2M ARR. 320 customers. Home services and HVAC vertical.

Step 1: Estimate payment volume

Survey of 20 customers found average monthly volume of $12,000. Bottom-up check: 320 customers × $12K × 12 = $46.1M annual GPV.

Benchmark check: Home services industry benchmark is $8K–$20K/month. $12K is within range. Confidence: high.

Step 2: Estimate attachment rate

Year 1 target: 55% (conservative). 320 × 55% = 176 actively processing customers. Captured GPV in Year 1: 176 × $12K × 12 = $25.3M

Step 3: Select model and model revenue

FieldFlow Pro chose PFaaS (volume justified it, team had capacity). Expected net take rate: 0.25%.

Year 1 payments revenue: $25.3M × 0.25% = $63,400

Step 4: Model the churn impact

Baseline customer churn: 11% annually. Expected churn reduction with payments adoption: 2 points (to 9%).

At 320 customers × $6,900 ARR per customer × 2% churn improvement: $44,200/year in retained SaaS revenue.

Step 5: Calculate the full value

Value Source	Year 1	Year 2 (75% attachment)
Payments revenue	$63,400	$86,400
Retained SaaS revenue	$44,200	$44,200
Enterprise value added (blended)	$375K	$520K

Implementation cost: $150K. Payback period from payments revenue alone: 2.4 years. Payback period including churn benefit: 1.4 years.

> *The churn impact is often larger than the payments revenue itself in Year 1. Model both. A $63K payments revenue stream with $44K in annual SaaS retention impact doesn't have a 2.4-year payback period — it has a 1.4-year one.*

14 — GLOSSARY

ACH (Automated Clearing House): An electronic bank-to-bank transfer network used for direct deposits, bill payments, and business transactions. Lower cost than card processing; 1–3 day settlement.

Acquirer / Acquiring Bank: The bank that maintains a merchant's payment account and processes card transactions on behalf of that merchant. The acquirer bears risk if a merchant can't cover chargebacks or fraud.

Attachment Rate: The percentage of eligible customers actively using a platform's integrated payments solution. A platform with 500 customers and 200 processing payments has a 40% attachment rate.

Basis Points (bps): One hundredth of one percent. 25 bps = 0.25%. The standard unit of measurement in payment economics. 10 bps of take rate on $50M in GPV = $50,000/year.

Chargeback: A transaction reversal initiated by a cardholder through their bank. The merchant bears the cost unless the dispute is resolved in their favor. High chargeback rates trigger processor fees, reserves, or account termination.

Gross Payment Volume (GPV): Total dollar value of transactions processed through a platform in a given period. The base denominator of all payments economics.

Interchange: The fee paid by the acquirer to the cardholder's bank (issuer) on every card transaction. Set by card networks (Visa, Mastercard). Non-negotiable. Ranges from ~0.5% (debit, regulated) to 2.5%+ (premium rewards cards, corporate cards).

ISV (Independent Software Vendor): A software company that integrates payment processing into its platform. ISVs earn residual revenue by referring customers to a payment processor.

KYB (Know Your Business): The business-level identity and compliance verification process required to onboard a merchant as a payment processor. Includes business registration, ownership, and risk assessment.

KYC (Know Your Customer): Individual-level identity verification for business owners. Required by banking regulations. Collects name, date of birth, SSN (last 4 or full), and government ID.

MCC (Merchant Category Code): A four-digit code assigned to merchants by card networks based on their business type. Determines interchange rates and risk classifications.

Net Take Rate: Gross take rate minus all processing costs (interchange, network fees, processor margin, fraud/chargebacks). The percentage that flows to your P&L.

Net Dollar Retention (NDR): The percentage of SaaS revenue retained and expanded from existing customers over a 12-month period, including upgrades and downgrades. A metric closely watched by investors. Payments tends to improve NDR by reducing churn.

PayFac (Payment Facilitator): A company licensed to aggregate merchants under a master merchant account, onboard sub-merchants, and accept payments on their behalf. Assumes regulatory and financial risk.

PayFac-as-a-Service (PFaaS): An infrastructure model where a licensed PayFac (Finix, Payrix, etc.) enables SaaS platforms to act as sub-PayFacs without holding a PayFac license themselves.

Residual / Residual Share: Revenue paid by a processor to an ISV or partner for each transaction processed by referred customers. Expressed as a basis point share of the processing margin.

Sponsor Bank: A bank holding a Master Operating Agreement (MOU) with Visa/Mastercard. PayFacs operate under a sponsor bank's agreement. The sponsor bank provides regulatory cover and settlement infrastructure.

Sub-PayFac: A company that operates under a master PayFac's license, typically through a PFaaS provider. Owns the customer relationship without holding a direct PayFac license.

Take Rate: The percentage of payment volume captured as revenue by a platform. Gross take rate is before costs; net take rate is after all processing costs.

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